

Chapter 14. Stock Selection for the Defensive Investor

1. Because of numerous stock splits, etc., through the years, the actual average price of the DJIA list was about \$53 per share in early 1972.
2. In 1960 only two of the 29 industrial companies failed to show current assets equal to twice current liabilities, and only two failed to have net current assets exceeding their debt. By December 1970 the number in each category had grown from two to twelve.
3. But note that their combined market action from December 1970 to early 1972 was poorer than that of the DJIA. This demonstrates once again that no system or formula will guarantee superior market results. Our requirements “guarantee” only that the portfolio-buyer is getting his money’s worth.
4. As a consequence we must exclude the majority of gas pipeline stocks, since these enterprises are heavily bonded. The justification for this setup is the underlying structure of purchase contracts which “guarantee” bond payments; but the considerations here may be too complicated for the needs of a defensive investor.